BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 & 25-G-0073

May 30, 2025

Prepared Testimony of:

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I. INTRODUCTION

Q. State your name, business address, and occupation.

A. My name is David Garrett. I am a consultant specializing in public utility regulation. I am the managing member of Resolve Utility Consulting, PLLC. My business address is 5000 Carrington Place, Oklahoma City, Oklahoma 73131.

Q. Summarize your educational background and professional experience.

A. I received a B.B.A. degree with a major in Finance, an M.B.A. degree, and a Juris Doctor degree from the University of Oklahoma. I worked in private legal practice for several years before accepting a position as assistant general counsel at the Oklahoma Corporation Commission in 2011. At the Oklahoma Commission, I worked in the Office of General Counsel in regulatory proceedings. In 2012, I began working for the Public Utility Division as a regulatory analyst providing testimony in regulatory proceedings. After leaving the Oklahoma Commission, I formed Resolve Utility Consulting, PLLC, where I have represented various consumer groups and state agencies in utility regulatory proceedings, primarily

in the areas of cost of capital and depreciation. I have testified in numerous regulatory proceedings in multiple jurisdictions on the issues of cost of capital and depreciation. I am a Certified Depreciation Professional with the Society of Depreciation Professionals. I am also a Certified Rate of Return Analyst with the Society of Utility and Regulatory Financial Analysts. A more complete description of my qualifications and regulatory experience is included in my curriculum vitae, which is set forth in Exhibit __(DJG-1).

Q. On whose behalf are you testifying in this proceeding?

A. I am testifying on behalf of the Utility Intervention Unit (UIU) of the New York State Department of State's Division of Consumer Protection.

Q. Please describe the purpose of your testimony.

A. In my testimony, I present my analysis of the depreciation study performed by Gannett Fleming for Consolidated Edison Company of New York, Inc. (Con Edison or the Company), and I present my recommended adjustments to the Company's proposed depreciation rates. I also address issues raised in the direct

testimony of the Company's depreciation panel.

Q. Have you prepared any exhibits to be filed with your testimony?

A. Yes. The following is a list of the exhibits I have relied upon in preparing my testimony:

- Exhibit__(DJG-1), which is my Curriculum Vitae, including a list of regulatory proceedings in which I have participated.
- Exhibit__(DJG-2), which is a summary of my proposed depreciation rate, accrual, and reserve adjustments
- Exhibit__(DJG-3), which shows a comparison between the proposed depreciation parameters for the service life accounts in dispute.
- Exhibit__(DJG-4), which shows a detailed comparison of the proposed depreciation rates and accruals for each account.
- Exhibit__(DJG-5), which shows detailed depreciation rate calculations for each account.
- Exhibit__(DJG-6), which shows the theoretical reserve and reserve variation calculations for each account.

- Exhibit__(DJG-7), which shows the observed life table and Iowa curve graph for Account 353 – Transmission Station Equipment.
- Exhibit__(DJG-8), which shows the observed life table and Iowa curve graph for Account 362 – Distribution Station Equipment.
- Exhibit__(DJG-9), which shows the observed life table and Iowa curve graph for Account 367 – Underground Conductors and Devices.
- Exhibit__(DJG-10), which shows the observed life table and Iowa curve graph for Accounts 367.10 and 376.12 – Mains (All Other).
- Exhibit__(DJG-11), which shows the observed life table and Iowa curve graph for Account 369 – Measuring and Regulating Equipment.
- Exhibit__(DJG-12), which shows the observed life table and Iowa curve graph for Account 380.10 – Services (All Other).
- Exhibit__(DJG-13), which shows the computed reserve calculations for each account in dispute.
- Exhibit__(DJG-14), which is also called Appendix A, and

includes a discussion of depreciation systems.

- Exhibit__(DJG-15), which is also called Appendix B, and includes a discussion of Iowa Curves.
- Exhibit__(DJG-16), which is also called Appendix C, and includes a discussion of actuarial analysis.

II. EXECUTIVE SUMMARY

Q. Summarize the key points of your testimony.

A. In this case, Con Edison is proposing an increase in depreciation expense in electric plant and gas plant in the amounts of $16.4 million and $27.1 million, respectively. As demonstrated by the evidence presented in this testimony, the Company's proposed service lives for several accounts are notably shorter than the service lives otherwise indicated by the Company's historical retirement data. The Company's proposed service lives also impact its proposed reserve deficiency. As a result, the Company's proposed depreciation rates and reserve deficiency are both overestimated. My proposed depreciation rate adjustments would reduce the Company's proposed annual accrual by $46.7 million for electric plant and $27.1 million for gas plant, based on plant

as of December 31, 2023. (See Exhibit__(DJG-2)). In addition, I propose adjustments to the Company's computed reserves and proposed amortization of the reserve deficiency. The Company's depreciation study presents a total reserve deficiency of $3.6 billion for electric and gas plant based on the Company's proposed service lives and net salvage rates. Because I am proposing longer service lives for several accounts, I calculate a smaller total reserve deficiency in the amount of $2.3 billion for electric and gas plant. (See Exhibit__(DJG-2)). The details of these calculations and adjustments are discussed in my testimony.

III. DEPRECIATION STANDARDS AND SYSTEMS

Q. Discuss the standard by which regulated utilities are allowed to recover depreciation expense.

A. In *Lindheimer v. Illinois Bell Telephone Co.*, the U.S. Supreme Court stated that "depreciation is the loss, not restored by current maintenance, which is due to all the factors causing the ultimate retirement of the property. These factors embrace wear and tear, decay, inadequacy, and obsolescence." *Lindheimer v. Illinois Bell Tel. Co.*, 292 U.S. 151, 167

(1934). The *Lindheimer* Court also recognized that the original cost of plant assets, rather than present value or some other measure, is the proper basis for calculating depreciation expense. Referring to the straight-line method, the *Lindheimer* Court stated that "[a]ccording to the principle of this accounting practice, the loss is computed upon the actual cost of the property as entered upon the books, less the expected salvage, and the amount charged each year is one year's pro rata share of the total amount." *Id.* at 168.

The *Lindheimer* Court also held:

> [T]he company has the burden of making a convincing showing that the amounts it has charged to operating expenses for depreciation have not been excessive. That burden is not sustained by proof that its general accounting system has been correct. The calculations are mathematical, but the predictions underlying them are essentially matters of opinion.

Lindheimer, supra, at 169 (emphasis added). Thus, the Commission must ultimately determine if the Company has met its burden of proof by making a convincing showing that its proposed depreciation rates are not excessive.

Q. Discuss the definition and purpose of a depreciation system, as well as the depreciation system you employed for this project.

A. The legal standards set forth above do not mandate a specific procedure for conducting depreciation analysis. These standards, however, direct that analysts use a system for estimating depreciation rates that will result in the systematic and rational allocation of capital recovery for the utility. Over the years, analysts have developed depreciation systems designed to analyze grouped property in accordance with this standard. A depreciation system may be defined by several primary parameters: 1) a method of allocation; 2) a procedure for applying the method of allocation; 3) a technique of applying the depreciation rate; and 4) a model for analyzing the characteristics of vintage property groups. In this case, I used the straight-line method, the average life procedure, the whole life technique, and the broad group model; this system would be denoted as an "SL-AL-WL-BG" system. This depreciation system conforms to the legal standards set forth above. I provide a more detailed discussion of depreciation system parameters, theories, and

equations in Exhibit__(DJG-14).

Q. Are you using the same depreciation system that was used in the depreciation study?

A. Yes, I am effectively using the same depreciation system that was used in performing the depreciation study. Thus, the difference between my proposed depreciation rates and the Company's proposed rates is due primarily to different opinions regarding service lives and reserve allocations, rather than a difference in depreciation systems.

IV. FAIRNESS TO CUSTOMERS AND THE CLCPA

Q. Please summarize the Company's position regarding the Climate Leadership and Community Protection Act as it relates to its proposed depreciation rates.

A. According to the Company's Deprecation Panel, the Company considered the potential impacts of the Climate Leadership and Community Protection Act (CLCPA) in its proposed depreciation rates and, in response to the CLCPA, is recommending a decrease in the service lives of several accounts. The Company prepared different service life

assumptions under multiple scenarios, including "shorter service lives" scenarios of three, five, and ten years. The Company is proposing the adoption of the "5-Year Shorter Service Lives" scenario in this case.

Q. Did the Company provide convincing empirical support for its "shorter service lives" proposals?

A. No. The Company makes various conclusory assumptions about the potential effects of the CLCPA as it relates to service lives but does not provide direct empirical support regarding how the CLCPA will specifically reduce service lives. The pathway to achieve the necessary carbon emissions pursuant to the State's goals is uncertain. However, what is not uncertain is that the Company's proposal will increase costs for current customers and increase the Company's cash flow, all else held constant.

Q. Do you believe the Company's proposal is fair to current customers?

A. No. The Company has not made a convincing showing regarding the CLCPA's specific impacts to service lives. The Company

makes several references to "intergenerational inequity" in support of its shorter service lives proposals. However, to the extent the Company's proposed service lives are shorter than what is otherwise supported by the objective evidence presented in this case, it would be more accurate to describe the Company's proposal as inequitable to current customers, as demonstrated in more detail later in my testimony.

Q. Please describe your approach to estimating service life in this case in light of the Company's testimony regarding the CLCPA.

A. Notwithstanding the fact that the Company did not present empirical evidence directly connecting the CLCPA impacts to its service life recommendations, I did consider the Company's testimony regarding this issue when formulating my service life recommendations. Regarding the service life adjustments presented in my testimony, I primarily rely on an objective analysis of the historical data when determining the most reasonable Iowa curve for the account. In fact, the Iowa curves I select for each of the adjusted accounts below results in a better mathematical fit to the Company's observed

data (the OLT curve). However, none of my selected Iowa curves are the *closest* mathematically fitting curve. Each Iowa curve I propose for the adjusted accounts is shorter than the Iowa curve that would otherwise result in the closest mathematical fit. In that regard, I am giving some consideration to the depreciation panel's opinion that service lives should be shorter than what is otherwise indicated by a strict historical analysis. However, I do not believe the Company has made a convincing showing that the CLCPA warrants an arbitrary reduction of five or ten years to the service lives of the gas accounts at issue. Based on my analysis the Company's proposed service lives for the accounts discussed below are too short given the observed data.

V. SERVICE LIFE ANALYSIS

Q. Please describe the process you used to estimate the service lives of the Company's depreciable assets.

A. To develop depreciation rates for the Company's mass property accounts, I obtained the Company's historical plant data to analyze the historical retirement patterns derived from the data. This is the same historical data used in the

depreciation study. (See Exhibit__(DJG-7) through Exhibit__(DJG-12) for observed life tables derived from this historical data). I used a set of empirically-based, standard survivor curves called "Iowa curves" to smooth and complete the observed data in order to assess the average life of each account. The depreciation study also relied upon Iowa curves in developing proposed service lives. More details about the Iowa curves are included in Exhibit__(DJG-15).

Q. Please describe your approach in using Iowa curves to estimate service life.

A. The historical retirement data are used to develop an observed life table (OLT) for each account. The data points on the OLT can be plotted to form a curve (the "OLT curve"). The OLT curve is not a theoretical survivor curve, rather, it is a curve derived from the Company's actual historical data. An OLT curve by itself, however, is rarely a smooth curve, and it is often not a complete curve. That is, it does not end at zero percent surviving. In order to calculate average life, a complete survivor curve is needed. The Iowa curve-fitting process involves selecting the best Iowa curve to fit the OLT

curve. This can be accomplished through a combination of visual and mathematical curve-fitting techniques, as well as professional judgment. The first step of my approach to curve-fitting involves visually inspecting the OLT curve for any irregularities. For example, if the tail end of the curve is erratic and shows a sharp decline over a short period of time, it may indicate that this portion of the data is less reliable, as further discussed below. After inspecting the OLT curve, I use a mathematical curve-fitting technique which essentially involves measuring the distance between the OLT curve and the selected Iowa curve in order to get an objective, mathematical assessment of how well the curve fits. After selecting an Iowa curve, I observe the OLT curve along with the Iowa curve on the same graph to determine how well the curve fits. I may repeat this process several times for any given account to ensure that the most reasonable Iowa curve is selected. More details about the process of actuarial analysis are included in Exhibit__(DJG-16).

Q. Do you always select the mathematically best-fitting curve?

A. Not necessarily. Mathematical fitting is an important part of

the curve-fitting process because it promotes objective, unbiased results. While mathematical curve fitting is important, however, it may not always yield the optimum result; therefore, it should not necessarily be adopted without further analysis. In each of the adjusted accounts discussed below, the Iowa curve I selected would result in a closer mathematical fit to the observed data. However, for most of the accounts at issue, I did not select the closest-fitting Iowa curve from a mathematical standpoint. In each case in which I selected an Iowa curve that was not the closest fitting curve, I selected an Iowa curve that was shorter, rather than longer, than what would otherwise be dictated by strict mathematical curve fitting. This approach highlights the balance between mathematical curve fitting and professional judgment.

Q. Please describe the additional analysis you performed for this matter.

A. After selecting an Iowa curve based on a combination of mathematical and visual curve fitting, as well as professional judgment, I applied that curve for the average

life of the accounts at issue. I also considered the net salvage rate of each account in calculating my proposed depreciation rates under the whole life method. Selecting different service lives for the accounts at issue resulted in different theoretical reserve calculations for these accounts. The calculated reserve and amortization are discussed later in the testimony.

Q. Should every portion of the OLT curve be given equal weight?

A. Not necessarily. Many analysts have observed that the points comprising the tail end of the OLT curve may often have less analytical value than other portions of the curve. Data points towards the end of the OLT curve are often based on fewer dollars exposure to retirement and should thus be given less weight than data points in the beginning and middle portions of the OLT curve. The weight placed on those points will depend on the size of the exposures. According to this standard, an analyst may decide to truncate the tail end of the OLT curve at a certain percent of initial exposures, such as one percent. Using this approach puts a greater emphasis on the most valuable portions of the curve. For my analysis

in this case, I not only considered the entirety of the OLT curve, but also conducted further analyses that involved fitting Iowa curves to the most significant part of the OLT curve for certain accounts. To verify the accuracy of my curve selection, I also considered additional calculations and visual inspections to include truncated OLT curves based on the top 99% of the relevant data and excluding the less relevant tail-end of the OLT curve.

Q. Discuss the general differences between your service life estimates and the Company's service life estimates for the accounts to which you propose adjustments.

A. While the Company and I used similar curve-fitting approaches in this case, the curves I selected for these accounts provide a better mathematical fit to the observed data and provide a more reasonable and accurate representation of the mortality characteristics for each account in my opinion. In each of the following accounts, the Company has selected a curve that underestimates the average remaining life of the assets in the account, which results in unreasonably high depreciation rates. The analysis of each selected account is presented

below.

Q. Please summarize the differences between the proposed service lives and annual accruals for the accounts at issue.

A. I propose service life adjustments to seven of the Company's accounts, as set forth in Exhibit__(DJG-3). Each of the service lives I propose for these accounts is longer than those proposed by the Company. These accounts are further discussed below.

A. Account 353 – Transmission Station Equipment

Q. Describe your service life estimate for this account and compare it with the Company's proposal.

A. The OLT curve for this account and other accounts discussed in this section is constructed using the Company's historical property data. The graph shown in Exhibit__(DJG-7) for this account shows the two different Iowa curves selected by the Company and me to best represent the average remaining life for the assets in this account. The OLT curve for this account is particularly well suited for conventional Iowa curve-fitting techniques because it is relatively smooth, it forms the pattern of a typical survivor curve for utility property, and it has a sufficient amount of retirement history; that

is, it is long enough. For this account, the Company selected the S0-50 Iowa curve, and I selected the L0.5-59 Iowa curve. Both Iowa curves are displayed along with the OLT curve for this account in a graph included in Exhibit__(DJG-7). The vertical dotted line in this graph represents the truncation point based on the 1% truncation benchmark discussed above. The data points on the OLT curve occurring to the right of this line are statistically less relevant than the other data points on the OLT curve due to the relatively low amount of dollars exposed to retirement associated with data points at the tail-end of the OLT curve. As shown in the graph, both selected Iowa curves have relatively similar shapes, and from a visual perspective, provide relatively close fits to the OLT curve. We can use mathematical curve fitting techniques to determine which of the two selected Iowa curves provides the closer fit to Con Edison's observed historical data in this account.

Q. Does your selected curve provide a better mathematical fit to the truncated OLT curve than the Company's selected Iowa curve?

A. Yes. Selected Iowa curves based on visual curve fitting techniques can be confirmed and bolstered by checking them mathematically. The better mathematically-fitted curve is the one that minimizes the distance between the OLT curve and the Iowa curve, thus providing the closest fit. The "distance" between the curves is calculated using the "sum-of-squared differences" (SSD) technique. The curve with the lower SSD represents the better mathematical fit. For this account, the SSD between the Company's Iowa curve and the truncated OLT curve is 0.2499, and the SSD between the L0.5-59 curve I selected and the truncated OLT curve is 0.0752, making it the closer fit to the OLT curve. This is shown in Exhibit__(DJG-7).

Q. Describe the impact to Con Edison's proposed depreciation accrual for this account if your recommended service life is adopted.

A. Adopting my proposed service life for this account would result in an adjustment reducing Con Edison's proposed depreciation accrual by $13.1 million, as shown in Exhibit__(DJG-4).

B. Account 362 – Distribution Station Equipment

Q. Describe your service life estimate for this account and compare it with the Company's estimate.

A. For this account, I selected the R1.5-58 curve, and the Company selected the R1.5-53 curve. A graph included in Exhibit__(DJG-8) shows these two curves with the OLT curve. Because both of the selected Iowa curves are from the same family (R1.5) and only a five-year difference in average life, they both result in relatively close fits to the OLT curve. The OLT curve for this account is particularly well-suited for conventional Iowa curve fitting techniques because it is relatively smooth, has adequate retirement history, and displays a typical retirement pattern for utility property (the R1.5 curve in this case). However, the R1.5-58 curve I selected simply results in a better fit, which can be confirmed mathematically.

Q. Does your selected Iowa curve provide a better mathematical fit to the truncated OLT curve?

A. Yes. Regardless of whether the entire OLT curve or truncated OLT curve is measured, the Iowa curve I selected results in

a closer fit. Specifically, the SSD between the Company's Iowa curve and the truncated OLT curve is 0.0899, and the SSD between the R1.5-58 curve I selected, and the truncated OLT curve is 0.0316, which means it results in the closer fit. This is shown in Exhibit__(DJG-8).

Q. Describe the impact to Con Edison's proposed depreciation accrual for this account if your recommended service life is adopted.

A. Adopting my proposed service life for this account would result in an adjustment reducing Con Edison's proposed depreciation accrual by $8.6 million, as shown in Exhibit__(DJG-4).

C. Account 367 – Underground Conductors and Devices

Q. Describe your service life estimate for this account and compare it with the Company's estimate.

The Company selected the R0.5-55 curve for this account, and I selected the R0.5-60 curve. As shown in the graph for this account, both Iowa curves effectively disregard the less relevant data towards the end of the OLT. Attempting to give the same statistical weight to the data points toward the end

of the OLT curve for this account could run the risk of estimating an unreasonably long service life. Nonetheless, the data provided by the Company in support of its service life proposal for this account is more supportive of a 60-year service life rather than the 55-year service life proposed by the Company.

Q. Does your selected curve provide a better mathematical fit to the truncated OLT curve for this account?

A. Yes. Regardless of whether the entire or truncated OLT curve is measured, the Iowa curve I selected results in the closer fit. The SSD between the Company's Iowa curve and the truncated OLT curve is 0.0876, and the SSD between the R0.5-60 curve I selected, and the truncated OLT curve is 0.0071, which means it results in the closer fit. This is shown in Exhibit__(DJG-9).

Q. Describe the impact to Con Edison's proposed depreciation accrual for this account if your recommended service life is adopted.

A. Adopting my proposed service life for this account would

result in an adjustment reducing Con Edison's proposed depreciation accrual by $24.9 million, as shown in Exhibit__(DJG-4).

D. Accounts 367.10 and 376.12 – Mains – All Other

Q. Describe your service life estimate for these accounts and compare it with the Company's estimate.

A. The depreciation study and historical data consolidates these accounts for the purpose of life analysis. The Company selected R2.5-75 curve for this account, and I selected the R2-81 curve. A graph included in Exhibit__(DJG-10) shows these two Iowa curves along with the OLT curve. Both of the selected Iowa curves provide fairly close fits to the observed data up to the truncation point. Although the data occurring after the vertical truncation line is statistically less relevant (and which I exclude in the mathematical analysis), there is nonetheless a significant amount of data points which indicate a longer service life than what is estimated in the Company's R2.5-75 curve.

Q. Does your selected curve provide a better mathematical fit to the observed data than the Company's curve?

A. Yes. Regardless of whether the entire or truncated OLT curve is measured, the Iowa curve I selected results in the closer fit. The SSD between the Company's Iowa curve and the truncated OLT curve is 0.0178, and the SSD between the R2-81 curve I selected and the truncated OLT curve is 0.0054, which means it results in the closer fit. This is shown in Exhibit__(DJG-10).

Q. Describe the impact to Con Edison's proposed depreciation accrual for these accounts if your recommended service life is adopted.

A. Adopting my proposed service life for these accounts would result in an adjustment reducing Con Edison's proposed depreciation accrual by $1.5 million for Account 367.10 and by $13 million for Account 376.12. This is shown in Exhibit__(DJG-4).

E. Account 369 – Measuring and Regulating Equipment

Q. Describe your service life estimate for this account and compare it with the Company's estimate.

A. The Company selected the S0-45 curve for this account, and I selected the R0.5-53 curve. A graph included in

Exhibit__(DJG-11) shows these two curves along with the OLT curve. For this account, the Company's selected curve does not provide an adequately accurate description of the historical retirement rate to provide a reasonable projection of remaining life. The Company is essentially ignoring many relevant data points occurring between the 40 and 60-year age intervals. The flatter, longer trajectory of the R0.5-53 curve results in a better fit to the OLT curve, and ultimately a more reasonable depreciation rate for this account.

Q. Does your selected curve provide a better mathematical fit to the observed data than the Company's curve?

Yes. Regardless of whether the entire or truncated OLT curve is measured, the Iowa curve I selected results in the closer fit. The SSD between the Company's Iowa curve and the truncated OLT curve is 1.9146, and the SSD between the R0.5-53 curve I selected, and the truncated OLT curve is 0.5327, which means it results in the closer fit. This is shown in Exhibit__(DJG-11).

Q. **Describe the impact to Con Edison's proposed depreciation**

accrual for this account if your recommended service life is adopted.

A. Adopting my proposed service life for this account would result in an adjustment reducing Con Edison's proposed depreciation accrual by $1.2 million. This is shown in Exhibit__(DJG-4).

F. Account 380.10 – Services – All Other

Q. Describe your service life estimate for this account and compare it with the Company's estimate.

A. The Company selected the R1-55 curve for this account, and I selected the R1-62 curve. A graph included in Exhibit__(DJG-12) shows these two curves with the OLT curve. For this account, the Company's selected curve does not provide an adequately accurate description of the historical retirement rate to provide a reasonable projection of remaining life. The Company is essentially ignoring many relevant data points occurring between the 40 and 50-year age intervals. The longer average life of the R1-62 Iowa curve is more supported by the empirical data and evidence provided by the Company for this account, and it results in a more reasonable and accurate depreciation rate.

Q. Does your selected curve provide a better mathematical fit to the observed data than the Company's curve?

A. Yes. Regardless of whether the entire or truncated OLT curve is measured, the Iowa curve I selected results in the closer fit. The SSD between the Company's Iowa curve and the truncated OLT curve is 0.0689, and the SSD between the R1-62 curve I selected, and the truncated OLT curve is 0.0171, which means it results in the closer fit. This is shown in Exhibit__(DJG-12).

Q. Describe the impact to Con Edison's proposed depreciation accrual for this account if your recommended service life is adopted.

A. Adopting my proposed service life for this account would result in an adjustment reducing Con Edison's proposed depreciation accrual by $11.3 million. This is shown in Exhibit__(DJG-4).

VI. RESERVE VARIATION AND AMORTIZATION

Q. Please describe the issue concerning the reserve variation.

A. At any given point in time, there will likely be a discrepancy between the recorded book reserve and the theoretical reserve. The theoretical reserve is a balance that would theoretically be in the accumulated depreciation account using the current proposed depreciation parameters (service life and salvage). When depreciation rates are calculated under the remaining life technique, any imbalance or variation between the book reserve and theoretical reserve is essentially allocated automatically over the remaining life of plant. In this case, since proposed depreciation rates are developed under the whole life technique, it is necessary to address the reserve variation as a separate issue.

Q. Please describe the Company's calculated reserve variation.

A. The Company's proposed depreciation parameters in this case result in a reserve discrepancy (where the theoretical reserve exceeds the book reserve) of $2.7 billion for electric plant and $840 million for gas plant. (See Exhibit__(DJG-6)). For common plant, the Company is recommending no action be taken related to the reserve variation.

Q. What is your position regarding the reserve variation for common plant?

A. I agree with the Company and do not recommend that any action be taken.

Q. Please summarize the Company's proposal regarding recovery of the reserve deficiency of electric and gas plant.

A. For electric plant, the Company proposes that the reserve deficiency that exceeds 10% of the theoretical reserve be recovered over a 20-year period. The Company proposes the same treatment for the gas plant reserve deficiency.

Q. Do you agree with the Company's proposed treatment of the reserve deficiency?

A. Yes. In this case, I believe it is reasonable to amortize the portion of the reserve deficiency that exceeds 10% of the theoretical reserve be recovered over a 20-year period.

Q. Did you develop the same calculated reserve deficiency as the Company?

A. No. Because I am proposing different service lives than the

Company for several key accounts, as discussed above, my calculated reserve deficiency will necessarily be different that the Company's calculation.

Q. Please describe your calculated reserve variation and proposed amortization.

A. I calculate a reserve deficiency of $2.1 billion for electric plant and $513 million for gas plant. This is shown in Exhibit__(DJG-6). My calculated reserve deficiencies are less than those calculated by the Company because I am proposing longer service lives than the Company is proposing in this case. Amortizing the amounts in excess of 10% of the deficiency result in annual amortizations of $50.7 million for electric plant and $10.8 million for gas plant. My detailed calculations supporting these numbers are shown in Exhibit__(DJG-6).

Q. Please summarize the difference between the Company's and your calculated reserve deficiencies and proposed amortization amounts.

A. Adopting my proposed service lives should result in an

adjustment reducing the Company's proposed annual reserve amortization by $54.6 million. This is shown in Exhibit__(DJG-2).

Q. Does this conclude your testimony?

A. Yes.